# Cheapie's LLC. Strategic Proposal

***Improving Team Dynamics & Collaboration***

*By: Grady Allen, Amparo Diaz, Alessandro Doherty, & Arun Sheanh*

# Cheapie's at a Glance

Business footprint, scale, and regional operation presence.

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## Footprint

***600+*** ***employees***

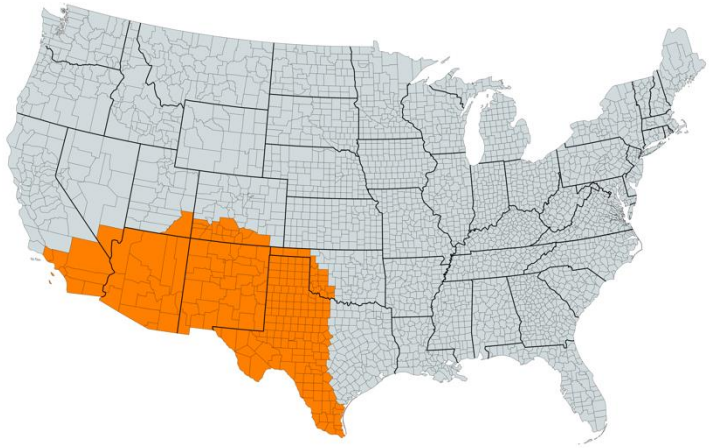
***40*** ***B&M locations***

***$105M+*** ***annual rev.***

## Overview

**Cheapie's, LLC** is a family-owned discount retailer founded in 2001, operating **40 stores across the U.S. Southwest** with **600+ employees** and a growing e-commerce presence. The company is known for **low prices, broad product variety, and community-focused values**.

## Operating Region



*Sources: Final Project – EBDM | 2025 Competitor Survey (N=19) | $105M+ is based on 600 employees x $175K rev/employee*

# Workforce Metrics Have Deteriorated Since 2021

Declines in team dynamics, satisfaction, and feedback coincide with rising intent to quit.

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## 2021 vs. 2025 Workforce Trend Comparison

| Metric | Scale | 2021 (N=25) | 2025 (N=200) | Change | Direction |
|---|---|---|---|---|---|
| **Team Dynamics** | 1-7 scale | 5.50 | 3.72 | **-1.78** | **Declined** |
| **Overall Satisfaction** | 1-7 scale | 5.72 | 4.57 | **-1.15** | **Declined** |
| **Intent to Quit** | 1-5 scale | 2.48 | 3.32 | **+0.84** | **Worsened** |
| **Feedback Regularity** | 1-4 scale | 2.92 | 2.08 | **-0.84** | **Declined** |

## Key Diagnostic Insight

Between 2021 and 2025, every core workforce metric deteriorated except intent to quit, which rose materially.
Team dynamics declined **1.78 points**, satisfaction fell **1.15 points**, and feedback regularity dropped **0.84 points**.
The consistent decline across multiple indicators suggests a broad organizational issue rather than isolated underperformance.

*Sources: 2021 Employee Survey (N=25) | 2025 Employee Survey (N=200)*

# Team Dynamics Are A Broad Workforce Issue

81% of employees rate team dynamics neutral or below, with only 19% reporting positive conditions.

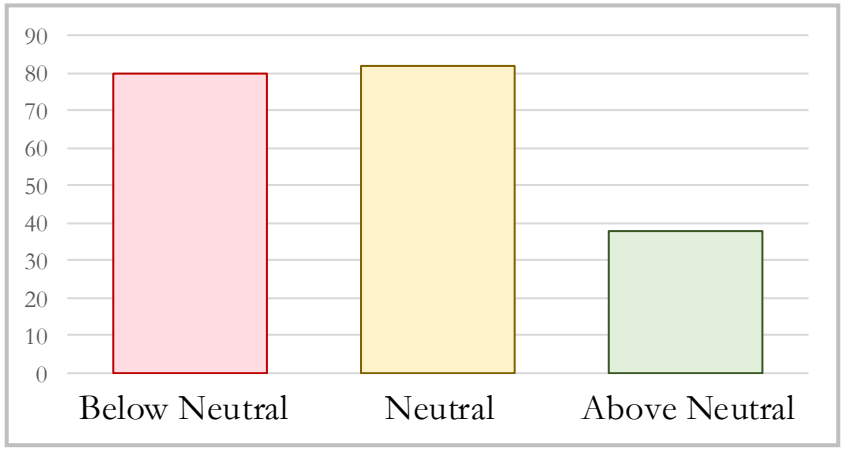
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## Key Diagnostic Insight

Team dynamics concerns are not limited to a few employees or teams. With only **19%** reporting positive conditions and an average score of **3.72 / 7**, collaboration challenges appear widespread across the organization.

| Team Dynamics Score* | Freq. | % of Sample |
|---|---|---|
| TOTAL below neutral (score < 4.0) | 80 | 40% of workforce |
| TOTAL at neutral (score = 4.0) | 82 | 41% of workforce |
| TOTAL above neutral (score > 4.0) | 38 | 19% of workforce |

## Team Dynamics Distribution




## Average

**3.72** / 7

*Sources: 2025 Employee Survey (N=200) | Team Dynamics Score* = avg of Team_Dynamics_1 & Team_Dynamics_2*

# Team Dynamics Correlate with Turnover Risk

Employees in the lowest quartile show the highest intent to quit and lowest satisfaction.

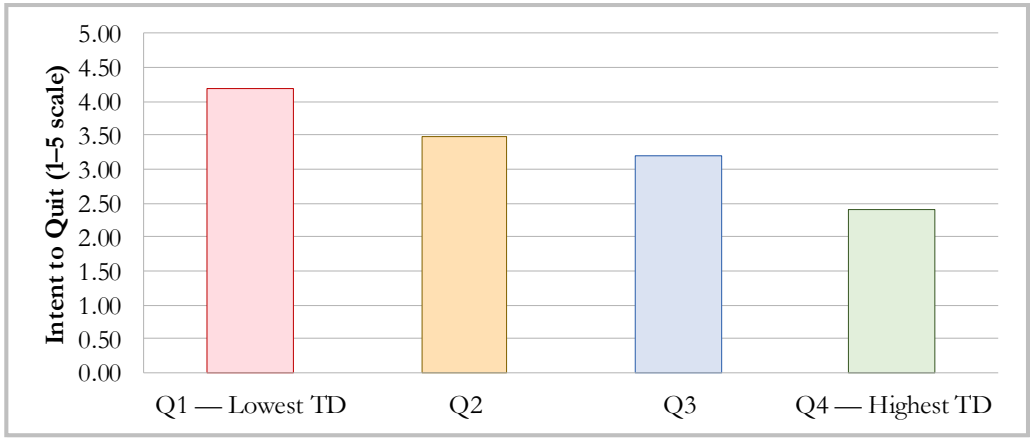
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## Poor Team Dynamics Increase Turnover Risk

Employees in the lowest quartile report higher intent to quit (**4.20 vs. 2.40**) and lower satisfaction (**3.62 vs. 5.31**) than top-performing peers. The consistent quartile trend suggests team dynamics are a major retention lever.

| TD Quartile | N | Avg Team Dynamics Score | Avg Intent to Quit | Avg Satisfaction | Avg Feedback Gap | Quit Risk Level |
|---|---|---|---|---|---|---|
| Q1 — Lowest TD | 50 | **2.48** | **4.20** | 3.62 | 1.32 | CRITICAL |
| Q2 | 50 | **3.63** | **3.48** | 4.52 | 1.24 | HIGH |
| Q3 | 50 | **4.00** | **3.20** | 4.82 | 1.40 | MODERATE |
| Q4 — Highest TD | 50 | **4.76** | **2.40** | 5.31 | 1.06 | LOW |

## Avg Intent to Quit by Team Dynamics Quartile




*Sources: 2025 Employee Survey (N=200)*

# Cheapie's Lags Competitors Across Key Metrics

Despite slightly higher wages, employee satisfaction trails benchmarks across every measured category.

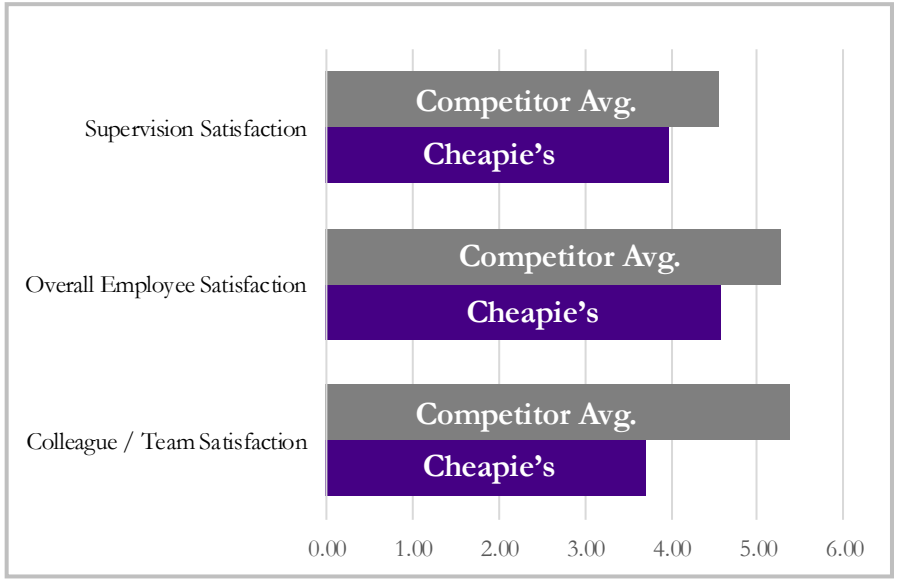
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## Systematic Performance Gaps

**Consistent gaps** across **workforce** and **performance** metrics signal a **systemic issue**

| Dimension | Scale | Cheapie's | Competitor Avg. | Gap | Gap (%) |
|---|---|---|---|---|---|
| **Colleague/Team Satisfaction** | **1–7** | **3.72** | **5.39** | **-1.67** | **-31.0%** |
| Overall Employee Satisfaction | 1–7 | 4.57 | 5.28 | -0.71 | -13.4% |
| Supervision Satisfaction | 1–7 | 3.97 | 4.56 | -0.59 | -12.9% |
| Average Annual Wages | $ | $32,015 | $31,584 | +$431 | +1.4% |
| Revenue per Employee | $ | $175,000 | $181,007 | -$6,007 | -3.3% |

### Visualization




*Sources: 2025 Competitor Survey (N=19) | 2025 (Internal) Employee Survey (N=200)*

# Cheapie's Underperforms Same-Size Peers

Among 500-1,000 employee firms, Cheapie's ranks below peer averages in satisfaction and supervision metrics.

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## Same-Size Peer Comparison — 500–1,000 Employee Firms

Cheapie's **underperforms same-size peers** in satisfaction despite **higher wages**

| Company | Annual Wages | Rev per Employee | Avg Tenure (yrs) | Overall Satisf. | Colleague Satisf. | Supervision Satisf. |
|---|---|---|---|---|---|---|
| Cheapie's | $32,015 | $175,000 | N/A | 4.57 | 3.72 | 3.97 |
| Competitor 9 | $30,000 | $172,468 | 2.7 | 5.10 | 4.80 | 4.10 |
| Competitor 10 | $31,902 | $189,907 | 2.5 | 5.00 | 5.50 | 4.70 |
| Competitor 11 | $31,896 | $155,690 | 2.0 | 4.90 | 5.00 | 4.60 |
| Competitor 12 | $31,582 | $173,038 | 3.7 | 4.80 | N/A | N/A |
| Competitor 13 | $30,067 | $166,463 | 2.6 | 5.40 | 5.30 | 4.20 |
| Competitor 14 | $29,972 | $198,878 | 2.6 | 5.10 | 5.20 | 4.10 |
| Competitor 15 | $30,631 | $176,911 | 2.4 | 5.60 | 5.50 | 4.60 |
| **Peer Average (excl. Cheapie's)** | $30,864 | $176,194 | 2.6 | 5.13 | 5.22 | 4.38 |
| Cheapie's Gap vs. Peer Avg | +$1,151 | -$1,194 | — | -0.56 | -1.50 | -0.41 |

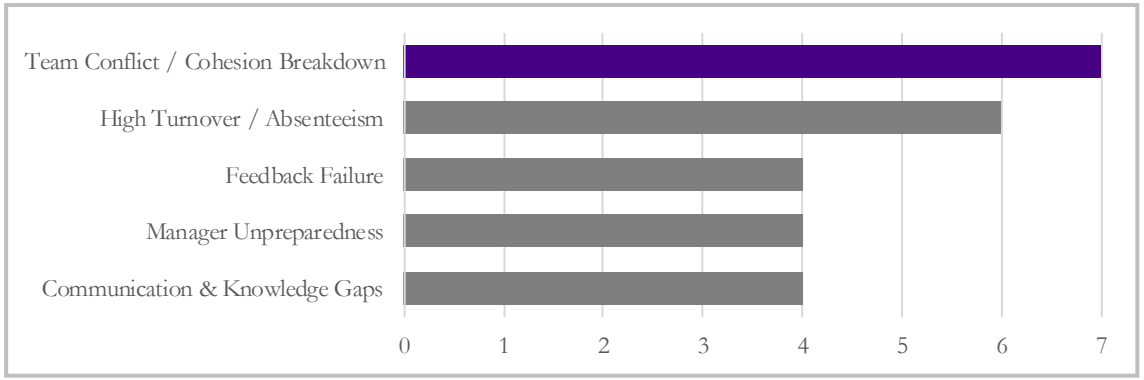
*Sources: 2025 Competitor Survey (N=19) | (500 – 1,000 Employees) | 7 Comparable Competitors*

# Managers Confirm a Systematic Breakdown

Qualitative coding of 10 manager interviews reveals organization-wide patterns, not isolated incidents.

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## Practitioner Evidence — Manager Interviews (N=10)




| Theme | Count |
|---|---|
| Team Conflict / Cohesion Breakdown | 7 / 10 |
| High Turnover / Absenteeism | 6 / 10 |
| Feedback Failure | 4 / 10 |
| Manager Unpreparedness | 4 / 10 |
| Communication & Knowledge Gaps | 4 / 10 |

## Direct Manager Quotes

"It's like we're back in high school with all the drama and cliques... it affects morale, productivity, and ultimately the customer experience."
**Brianna Thompson, Store Manager**

"I was promoted out of the blue and have never received any formal training on how to manage employees. I have no idea how to set goals for them or provide them with the tools they need."
**Ethan Williams, Store Manager**

## Key Emergent Finding (EC-1)

**4 of 10** managers were promoted internally with **no formal management training** — leaving them structurally **unable to execute goal-setting, role clarification**, or **feedback delivery**. This explains why every other failure is happening simultaneously.

*Sources: Manager Interviews (N=10) | Coding method: A priori codes derived from Klein et al. (2009) & Mesmer-Magnus & DeChurch (2009)*

# The Research Prescribes What Cheapie's Is Missing

Two independent meta-analyses converge on the same solution.

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## Klein et al. (2009) - Does Team Building Work?

| 26 studies \| 579 teams | |
|---|---|
| **ρ = .44** | Affective outcomes — Cheapie's exact problem |
| **ρ = .37** | Goal-setting component — highest impact |
| **ρ = .35** | Role clarification component — second highest |
| **ρ = .66** | Large teams (>10 members) — Cheapie's profile |

## Mesmer-Magnus & DeChurch (2009) - Info Sharing

| 72 studies \| 17,279 participants | |
|---|---|
| **ρ = .42** | Information sharing → team performance |
| **ρ = .50** | Sharing *unique* information (vs. ρ = .25 for general openness) |
| **ρ = .57** | Cooperative climate (strongest moderator) |
| **ρ = .43** | Structured discussions vs. unstructured |

## Bottom Line

Cheapie's **suffers most where team building works best** (affective outcomes, ρ = .44). Its **large teams** mean interventions **produce 2.4x the effect** of medium teams (ρ = .66 vs. ρ = .27). **Pay increases cannot close this gap** — r = .372 between wages and colleague satisfaction across competitors confirms compensation is not the lever.

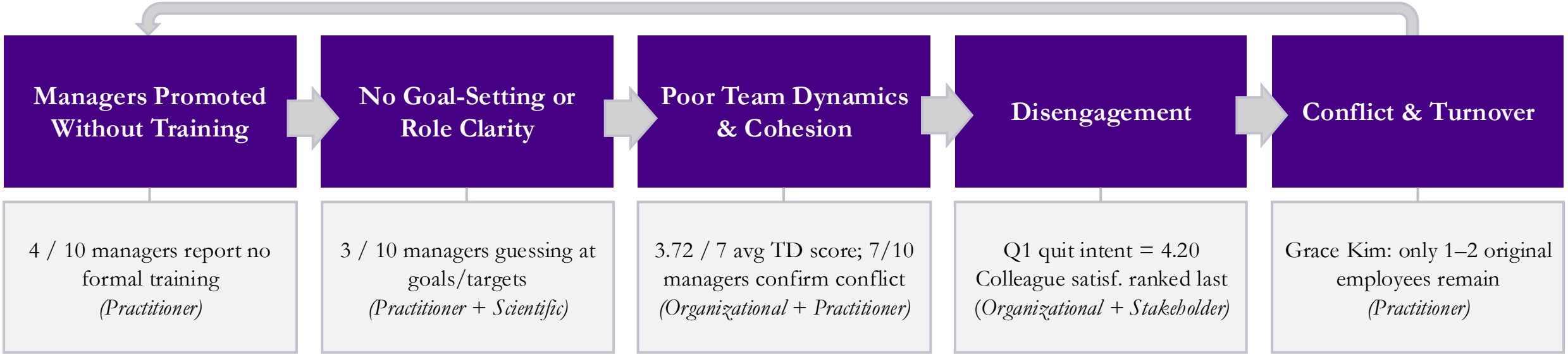
*Sources: Klein et al. (2009) | Mesmer-Magnus & DeChurch (2009) | 2025 Competitor Survey*

# One Root Cause Drives Every Failure

Evidence across all four sources points to the same mechanism.

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## The Cycle




## Bottom Line

**Pay is not the problem**. Cheapie's pays $431 above market average yet ranks last in colleague satisfaction. The **evidence points to a management development gap** — not a compensation gap.

*Sources: 2025 Employee Survey | Manager Interviews | 2025 Competitor Survey | Klein et al. (2009) | Mesmer-Magnus & DeChurch (2009)*

# The Recommendation: 3 Prong Approach

Targeting manager training, goal-setting, role clarity, and team cohesion.

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## 1. Manager Development



**Equip managers** with the **skills** to **lead teams** before anything else launches.

*EC-1 (no formal training), AP-1 (goal ambiguity), AP-2 (role confusion)*

## 2. Structured Meeting Protocol



Structured meetings that drive **goal clarity**, **role alignment**, and **communication.**

*AP-1 (goal ambiguity), AP-2 (role confusion), AP-3 (interpersonal relations), AP-5 (communication breakdown), AP-6 (cooperative climate deficit), IS findings (ρ = .42/.43), uniqueness effect (ρ = .50), large team effect (ρ = .66)*

## 3. Equity Distr. Team Incentives



Equitably shared rewards that **reinforce team-level performance** and collaboration.

*EC-2 (individual-only incentives), AP-3 (interpersonal relations), AP-6 (cooperative climate deficit), affective interventions (ρ = .44), team-based incentives (g = .45), equitable > equal distribution (g = .45 vs. g = .32)*

*Disclaimer: no pay raises, no one-time events, no hiring changes

*Sources: Klein et al. (2009) | Mesmer-Magnus & DeChurch (2009) | Garbers & Konradt (2014) | Manager Interviews (2025)*

# Component 1: Manager Development

Giving managers the skills to run the system.

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## Training Curriculum

### Structured Meeting Facilitation

How to run productive **bi-weekly** team **meetings**

### Shared Goal Setting

Translating store **targets** into team-level **objectives**

### Role Clarity & Accountability

Defining **responsibilities** and **reducing overlap** and gaps

### Team-Level Feedback

Recognizing team **outcomes**, not just individual performance

## Implementation Plan

**Two half-day district cohorts** (5–8 managers) facilitated by HR + external consultant — completed Q1 before system launch.

## Estimated Cost

**$37-40k**

Total Program Delivery Cost

## Evidence Based Outcomes

### Proven Performance Link

Process **interventions** → team performance: **ρ = .44**

### Critical Diagnostic Need (EC-1)

Direct responses show **zero formal** leadership **training**

### Addressed Pain Points

Addresses AP-1 (**goal ambiguity**) & AP-2 (**role confusion**) directly

*Sources: Klein et al. (2009) | Manager Interviews (2025)*

# Component 2: Structured Meeting Protocol

Translating manager training into weekly team practice.

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## Meeting Agenda

### Goal Setting

Set **goals** for the period and **what success looks like** as a team

### Information Sharing

Share **updates**, **challenges**, and unique **ideas**

### Problem-Solving

Discuss real **issues**, the **cause**, **solve**, and **agree** on a solution

### Next Steps

Assign **action items** and **accountability**

## Implementation Plan

**Bi-weekly 30-min meetings** | Standardized **agenda, action tracker** & **sign-in sheets** | Distributed to all managers in Q1 cohort training.

## Estimated Cost

**$3-5k**

Design, Printing, & Facilitation Materials

## Evidence Based Outcomes

### Proven Performance Link

**Structured discussions** outperform unstructured: **ρ = .43**

### Unique Info Sharing

**Unique info** sharing drives performance: **ρ = .50**

### Addressed Pain Points

Addresses AP-5 (**communication breakdown**) & AP-6 (**cooperative climate deficit**) directly

*Sources: Klein et al. (2009) | Mesmer-Magnus & DeChurch (2009) | Manager Interviews (2025)*

# Component 3: Equity Dist. Team Incentives

Replacing individual-only rewards with shared team outcomes.

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## Incentive Structure

### Monthly Team Bonus

**Equitable bonus** tied to store-level satisfaction score, revenue target, and attendance rate.

### Peer Recognition Program

Employees nominate teammates for **standout collaborative behavior** each month.

### Shared-Outcome Milestones

Quarter-end celebration tied to **collective metrics**, reinforces team identity > individual competition.

## Implementation Plan

Pilot in 4–6 stores in Q2; **define collective metrics** with district managers. **Evaluate via satisfaction delta and quit-intent** survey at 90 days. Expand to all 40 stores Q3–Q4 based on results.

## Estimated Cost

**$18-24k**

Annual Bonus Pool + Recognition Program

(est. per.-store avg. $450-600/mo.)

## Evidence Based Outcomes

### Affective Interventions

**Affective interventions** drive team cohesion: **ρ = .44**

### Critical Structural Cause (EC-2)

Individual incentive structure gives employees **no structural reason** to collaborate.

### Team Based Incentives

Team-based incentives (g = .45), **equitable > equal** distribution

*Sources: Klein et al. (2009) | Mesmer-Magnus & DeChurch (2009) | Garbers & Konradt (2014) | Manager Interviews (2025)*

# The Gap Is Structural – Only a System Closes It

Four independent evidence types point to one root cause and one integrated solution.

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Cheapie's pays **$431 above market** yet ranks **last of 17** in colleague satisfaction — a **31% gap** that wages cannot close (r = .372). Undertrained managers cannot build the goal clarity, role structure, or cooperative climate that drive cohesion. The result: **81%** of employees rate team dynamics neutral or below and revenue per employee trails peers by **$6,007.**

## 1. Manager Development

Equips managers with the **goal-setting**, **role clarity**, and **feedback skills** they were never given when promoted.

## 2. Structured Meeting Protocol

Installs a standardized meeting structure that surfaces **unique operational knowledge** across all 40 stores.

## 3. Equity Distr. Team Incentives

Adds an equitable team-level bonus and recognition program that gives employees a **structural reason to collaborate.**

## Why This Works

**ρ = .44**
Affective outcomes; where the gap is largest and team building works best.

**ρ = .66**
Large-team effect; 2.4x the return of medium teams at Cheapie's scale.

**ρ = .57**
Cooperative climate; prereq. for info sharing gains to materialize.

**ρ = .42**
Info sharing drives performance; addresses the $6,007 revenue gap.

*Sources: Klein et al. (2009) | Mesmer-Magnus & DeChurch (2009) | 2025 Employee Survey | 2025 Competitor Survey*


Questions?